



**ELDR MANIFESTO
2004 EUROPEAN PARLIAMENTARY ELECTIONS
APPROVED IN AMSTERDAM,
14 November 2003**

INTRODUCTION

WHAT DOES ELDR STAND FOR?

The European Liberal Democrat and Reform Party (ELDR) believes in a Europe based on the fundamental Liberal principles of liberty, democracy, the rule of law, human rights, tolerance and solidarity.

We believe in a fair, free and open society which harnesses the abilities of each and every one of its citizens to participate fully in society, presenting them with the opportunities to fulfil their potential, free from poverty, ignorance, and discrimination.

To achieve these goals, we are striving to complete the internal market as a truly common economic area without internal frontiers, and to reform Europe's economy to make it more prosperous and competitive, with more jobs and stable prices for consumers, based on the principle of globally inclusive international free trade. We are working to promote sustainable development and to protect our environment. We are campaigning for a safe and just society, ensuring a more peaceful and stable world.

As the most consistent and long-standing advocates of an early and wide enlargement of the European Union, we are delighted to welcome into the Union our friends from the new Member States. At the same time, we will continue to campaign for a more transparent, democratic and accountable Europe, taking decisions only on those matters which require European solutions.

Subsidiarity should be the basis of EU decision-making. The systematic application of this principle should ensure that the Union acts only in those cases where a problem cannot be adequately settled by individual Member States acting on their own. This principle connects with the principle of proportionality, which already guides all legislative measures taken by the EU, and according to which any action by the EU should not go beyond what is necessary to achieve the objectives of the Treaty. Application of the subsidiarity principle has the purpose of bringing decision-making within the Union as close to the citizen as possible.

Last but not least, ELDR supports a constitutional settlement for Europe. Liberal Democrats all over Europe have always campaigned for a strong constitution as the basis of democracy. Therefore we welcome the efforts made by the European Convention as a strong conceptual basis for the Intergovernmental Conference.

WHY DOES THE EUROPEAN PARLIAMENT MATTER?

The time to create a Europe that matters is now. Europe's aim should be to gain trust from its citizens and being a Europe that matters in the world. The ELDR wants to achieve this, not only by opening our markets, but also through establishing real political power in the world. Europe as an entity in the world should speak with one voice in foreign affairs, in development policy and with one voice as regards the protection of human rights, civil liberties and democratic principles. The European Parliament exercises considerable legislative power through the so-called codecision procedure, which places MEPs and government ministers in Council on an equal footing to adopt joint legislative acts. The codecision procedure applies to most EU legislation which affects the day-to-day lives of citizens and businesses in Europe, including the internal market, the environment, consumer protection, research and development, education, culture and health. Through the codecision procedure, many European Parliament amendments are adopted into EU law, and legislation in

these areas can only be adopted with the formal approval of the European Parliament and Council. The European Parliament is also consulted on other areas of EU policy where its suggested amendments are often taken up by the Commission, and influences the EU agenda by adopting 'own-initiative' reports. ELDR believes that codecision should be the normal method for decision-making in the European Union, with only occasional well-defined exceptions.

The European Parliament also plays a very important role in the adoption of the annual EU budget, which allows the Parliament to ensure that its political priorities are given adequate resources. The European Parliament adopts the Union's budget for the following year in December, and the budget cannot come into force until it has been signed by the President of the European Parliament, giving the Union the financial resources it needs for the following year. Parliament then monitors closely the way the budget is spent to reduce fraud and mismanagement and, through its power to sign off the accounts of the EU institutions, exercises further control over policy.

However, the European Parliament also carries influence in a variety of other ways. As the only body which is directly elected by European citizens, it holds the European Commission to account for policy decisions in all fields in parliamentary debates, through regular hearings with Commissioners, scrutiny of policy proposals and written and oral questions. If necessary, it can even deliver a motion of censure against the Commission, subject to the support of two-thirds of its members. The European Parliament is also the only body which holds quarterly meetings with the President of the European Central Bank to ensure accountability and transparency in the management of the euro. With the Union set to enlarge substantially in 2004, the Parliament has closely monitored the enlargement negotiations and has been required to give its assent to the accession treaties. Parliament is also required to give its assent to most international agreements which the EU enters into, and holds regular debates on international affairs, on the human rights situation around the world, and on the foreign policy of the EU, which are often accompanied by resolutions setting out Parliament's position. ELDR will further campaign to strengthen parliamentary scrutiny.

For all of these reasons, every vote in the European Parliamentary elections counts.

A PLEDGE FOR CONTINUED SUCCESS

ELDR MEPs have consistently made the difference over the past 5 years, by promoting Liberal principles within the legislative work of the European Parliament. This electoral programme shows how, with the support of EU voters, European Liberal Democrats will continue to make that crucial difference over the next 5 years, within an enlarged European Parliament, at the heart of an enlarged European Union.

**A NEW ENLARGED EUROPE OPEN TO ITS CITIZENS AND OPEN TO THE
WORLD:
ELDR ELECTORAL PROGRAMME 2004-2009**

THE CONSTITUTION

The Congress of the European Liberal, Democrat and Reform Party, meeting in Amsterdam on 12-14 November 2003, endorses the *Draft Treaty establishing a Constitution for Europe* as the basis for agreement at the Intergovernmental Conference. It urges the completion of the constitutional negotiations in good time before the elections for the European Parliament in June 2004, so that the Constitution can provoke a wide public debate, the engagement of political parties, and popular legitimacy.

We welcome the work of the Convention that has resulted in a draft Constitution that is concise, readable and coherent; and we congratulate the ELDR representatives in the Convention for their eminent contribution.

ELDR supports the Constitution because it fulfils long-standing objectives of the party by clarifying the values, principles, and objectives of the Union, by rationalising its instruments and decision-making procedures, by delimiting its competences and by strengthening its institutions. We commend the result which, in constitutional form, makes the EU's system of governance more open, democratic and efficient while at the same time enhancing the capacity of the Union to act effectively at home and abroad.

We welcome, in particular, the fact that qualified majority voting in the Council and codecision with the European Parliament will be the normal legislative procedure. We urge the European Council to make early use of its discretionary power to widen further the use of QMV, not least in respect of common foreign and security policy. We anticipate that the acquisition of international legal personality will empower the Union to play a full part in all global institutions. We support the accession of the Union to the European Convention on Human Rights.

In order to develop European security and defence policy, ELDR fully supports the concept of structured cooperation among certain member states that are both militarily capable and politically willing. The Union's security and defence dimension must develop in close cooperation and complementarity with NATO.

We welcome the creation of the post of EU Foreign Minister, who will chair the Council of External Relations and be a Vice-President of the Commission, running a joint administration made up of Commission and Council officials as well as national civil servants.

We urge the IGC to ensure that the full-time president of the European Council should not interfere in the work of the President of the Commission or the Foreign Minister, but that he or she is enabled to bring much-needed cohesion and continuity to the work of the heads of government.

We welcome the fact that the Constitution contains many elements that allow for its future evolution.

ELDR believes that the IGC should focus on the need to strengthen the functioning of the European Commission. While recognising that states of all sizes have legitimate interests to promote in the outcome of the IGC, we insist that this must not be at the expense of advancing the common interest, facilitating decision-making or maintaining the equilibrium between the institutions.

We urge the IGC to reinforce the consensus found by the Convention on the key constitutional issues, including the installation of the Charter of Fundamental Rights as Part II, with mandatory effect. We insist that the IGC makes more progress on the modernisation of EU policies in Part III. We hope that the Conference will also consider the modification of certain procedures for future constitutional revision.

ELDR strongly favours the decision of the European Convention to give national parliaments an important role in the subsidiarity process and welcomes the strengthened role of the European Court of Justice as a Constitutional Court.

We welcome that the Committee of Regions will be entitled to go to court for matters of subsidiarity or the infringement of its prerogatives. We will work to support regions with legislative powers to assert themselves within the Constitution. ELDR continues to put great emphasis on the strengthening of regional and local government in Europe.

While strongly welcoming the provisions of the Constitution on open government, ELDR continues to make a priority of improving the regulatory environment, strengthening consultation with industry and civil society and decentralising where appropriate the management of EU policies.

ELDR regrets the lack of evident progress so far at the IGC, which seems to be repeating selectively items from the Convention but at an inferior level. In particular, we deplore:

- the apparent decision to suppress the idea of the Legislative Council, which was intended to separate out more clearly the Council's law-making from its executive functions, and to guarantee full transparency of the legislative process; hopes that at least the option will be maintained to introduce the Legislative Council at a later stage;

- the attempt by two states to destroy the formula reached at the Convention for the qualified majority in the Council, which successfully balances the legitimate interests of both larger and smaller countries, and, moreover, which is clear and simple;

- the initiative of Ecofin designed to retain unanimity throughout the system of deciding how the Union's own resources are raised and spent, and to finish the European Parliament's role as a co-equal part of the budgetary process; believes that these proposals are in danger of destabilising the IGC and of dealing a grave blow to the Convention's achievement in reinforcing parliamentary democracy at the EU level.

ELDR recalls that the Convention enjoyed great political legitimacy, and that the IGC must rise to the challenge posed by the Convention in order to avoid fuelling public cynicism about Europe.

The Congress calls on the IGC to focus quickly on reaching a lasting political agreement that settles convincingly the system of government of the enlarged European Union.

AN ENLARGED EUROPE OPEN TO ITS CITIZENS

The freedom to live and work throughout Europe

ELDR will continue to lend its support to action to transform the European Union into a genuine internal market for the benefit of all. In particular, ELDR will seek the adoption and implementation of key EU legislation which facilitates the freedom of all citizens to live, work and travel, to exercise their civil rights, to consume goods and services, and to invest their money anywhere in the EU, without undermining their legal rights. This is particularly important in relation to mutual recognition of qualifications, and the right to settle and work in the country of one's choice.

In this context, we consider that the transitional periods which have been determined for the new Member States in the field of labour mobility should be revoked.

ELDR also wants to ensure citizens' access to justice and to complete and simplify the recognition of civil and commercial decisions in order to facilitate the daily life of the growing number of European citizens who live or travel in European countries other than their own, in particular in case of births, adoptions, marriages, wills, deaths, accidents or complaints before the courts.

Modernising the European economy

The Lisbon process has shown too little progress. It has lost focus and has been watered down by setting too many objectives over the last years and too often it has been reduced to a statistical exercise. For the remaining years, some priorities must be set. However, modernising the European economy requires more than that. The European Union should, for instance, increase its efforts in completing the single European market by taking more decisive action to liberalise gas, electricity, postal services and transport. An efficient and well-functioning European market will create new opportunities for economic growth, jobs and social welfare.

At Lisbon, EU governments agreed to modernise and restructure the European economy in order to make it the most competitive and dynamic knowledge-based economy in the world, capable of sustainable economic growth with more and better jobs and greater social cohesion by the end of this decade. As part of this process, ELDR will campaign for better policies for the information society and research and development, the rapid adoption and correct implementation of EU legislation on takeover bids, establishing common rules for corporate takeovers in Europe which protect shareholders, particularly minority shareholders. ELDR was the only political Group unanimously to support the Commission's first proposal on takeover bids, which was rejected by the Parliament in a dramatic tied vote in July 2001.

EU added value in research

Science and science-based technology are showing an almost unprecedented level of dynamism, and new areas are emerging (life sciences, information and communication technology, nano- and microsystems technologies) which mobilise scientists across disciplines, change industry and have a large impact on the economy. ELDR is in favour of a European Research Area, provided that it creates genuine added value with respect to Member States' own national research programmes, boosts research and innovation, and thereby allows EU industry to compete effectively with other technologically advanced economies, particularly the USA.

In the field of research, Liberals support the principles of academic freedom, and pluralism. Research priorities should contain a mix of commercial, political and academic considerations, but it is important that funding criteria do not impair

academic freedom and independence. One way of giving researchers greater influence over research priorities at the European level is to introduce a system of "European research councils" - councils, whose members are nominated or elected by the European academic community, and which should have a strong role in decision-making on EU research funding.

In the allocation of EU research funding, a high priority should be given to research and development projects aimed at providing "clean" and renewable sources of energy.

Promoting innovation

ELDR will support legislation that makes obtaining and enforcing EU-wide intellectual property protection more accessible and affordable to small and medium enterprises. We will continue to support the proper implementation of updated EU copyright rules, which take account of recent technological developments such as the internet.

Cutting red tape

A competitive European economy requires a modern and well-functioning body of public regulation, which protects the public interest without imposing unnecessary burdens on businesses and individuals. ELDR will work for a general overhaul of existing European legislation in order to ensure its continued relevance to today's challenges. We will normally insist on a sunset clause after 5 years for new EU legislation, so that it must be reconsidered after having had time to work. We will insist that the European Commission conducts proper cost-benefit analysis, comprehensive impact assessment, and full consultation of interested parties, before bringing forward any new proposals, and that this process be monitored by an independent body. This system should be developed along the lines of the existing Dutch system for assessing the impact of new regulation.

A genuinely open economy

As a defender of free market competition, ELDR supports the most active anti-trust policy against cartels, price fixing and monopolies. It is essential to ensure real competition following the privatisation of services of public interest. We oppose any relaxation of competition policy which would allow the abuse of dominant positions in national markets, even if not in the EU market as a whole. We want to develop growing cooperation with the USA's anti-trust authorities, in particular via a better alignment of competition tests between the anti-trust authorities on both sides of the Atlantic. As in the US, ELDR wants the European Commission to judge mergers on the basis of whether or not they significantly lessen competition, so as to avoid occasional disagreements with the US anti-trust authorities on specific merger cases.

Furthermore, ELDR favours a reduction in subsidies to failing businesses, as these merely stifle the growth of new industries and create an uneven playing field for EU companies.

The independent status of the European Central Bank should be fully guaranteed. ELDR does not a priori exclude the option that the Central Bank has a lead responsibility for banking supervision. However, it should not distract it from its primary commitment to price stability. EU finance representatives should be open to the possibility of coordination with the United States and Japan, in order to avoid serious exchange rate misalignments between the Euro, the Dollar and the Yen.

Sound economic management

Given that the sustainability of public finances is a core objective, ELDR wants to see a strengthened monitoring of budget balances to ensure that Member States keep

tight budgetary discipline in good years, so as to be able to stay within the budget deficit limit in bad years.

At the same time, the EU itself also has the responsibility of ensuring sound and sustainable public finance in Europe, by setting the right example and applying tight budgetary discipline to the EU budget.

A pragmatic approach to tax policy

Tax competition between Member States can act as a healthy check on big government. It does not necessarily lead to a race to the bottom, since experience shows that voters may support higher taxes if they get value for money in public services. ELDR therefore believes that Member States should set their own tax rates depending on their needs for public spending. ELDR supports coordination of tax base structures, where this demonstrably eases burdens on traders and businesses. This should help cross-border business, bring down compliance costs as a result of less complex rules, and leave less scope for protectionist regulations.

VAT reduction on education and labour intensive services

The ELDR believes the trial possibility given to Member States in 1999 to apply a reduced VAT to some labour intensive services has been a success and urges the Council to adopt as soon as possible the proposal from the Commission to broaden this possibility to include hotel, catering and the construction sector, provided that there is no distortion of the internal market. ELDR considers that the reduced VAT rate which certain Member States already apply to books should be maintained and extended to all Member States, given that education is the most important investment that can be made in our future.

More choice and higher returns in financial services

Financial services are one of the most regulated and politically sensitive industries in the EU and therefore the last area without a proper single market. With the advent of a single currency, this is an increasingly absurd situation. A single market in financial services would increase the return on individual savings by cutting administrative costs and spreading risk, bringing benefits to pensioners and those using life assurance. It would also increase financing opportunities for businesses, including growing and start-up firms, by allowing them to sell bonds and shares anywhere in the EU. ELDR has taken the lead in supporting the establishment of a single market in pensions, bank loans, unit trusts and securities offers and trading. We will seek to strike a sensible balance between investor protection to ensure confidence in the markets, and ease of access to finance for business. We are continuing to push for action to establish a single market in financial services by 2005, as a major stimulus for European economic growth. As part of this programme, ELDR is also playing a key role in pushing for the necessary legislation on occupational pensions that would make cross-border pensions easier and cheaper for pensioners.

Cost-effective, reliable, and sustainable utilities

Market liberalisation can deliver consumers an enhanced choice and a higher quality of goods and services. A prerequisite for this is that there is effective market supervision by strong independent regulators to set out the rules and conditions for the fulfilment of public service obligations by service providers, to prevent build-up of monopolies and cartels, and to provide security of supply, and to promote environmental sustainability. ELDR continues to demand more rapid progress by Member States in this area.

Integrating and consolidating the EU transport sector

A genuine EU single market in transport services is still far from completion. ELDR will continue to campaign to make this a reality. In the rail sector, the EU has an important role to play in harmonising technical and safety standards and opening network access so as to stimulate competition and integrate different networks, thereby creating the conditions for the rail sector to compete effectively with road transport. ELDR acknowledges, however, that the road network is of great importance, particularly in remote and sparsely populated areas and stresses, therefore, that the particular needs of these areas must also be duly taken into account when implementing the common transport policy.

In the aviation sector, ELDR supports a thorough overhaul of the system of slot allocation at Community airports to ensure fairer access to slots for all airlines, including new entrants, and the negotiation of a European "Open Skies" Agreement with the United States to bring an end to discriminatory bilateral agreements which restrict EU airlines from flying to the US out of any Member State other than their own. In the maritime sector, ELDR will campaign to ensure financial transparency in the ports sector by the establishment of clearer guidelines on state aids, so that ports in different Member States can compete on a level playing field. We will also argue in favour of concerted EU action to promote freight transport via inland waterway, in particular by simplifying and harmonising administrative rules.

Better public transport

ELDR will make efforts to ensure delivery of safe, accessible, reliable and affordable high quality transport services, via a process of controlled liberalisation of public transport in the EU. This should involve the competitive tendering of public transport contracts according to transparent procedures and rigorous standards, to be enforced by a strong, independent regulator in each Member State, with the purpose of achieving lower prices, better quality and more freedom of choice for passengers. For an effective and competitive European railway system, increased co-operation across borders is needed.

Ensuring transparency and citizens' access to information

ELDR will continue to work towards a more open, transparent and accessible union. In order to increase democratic accountability of the EU, we must constantly fight to achieve better access to documents and information in all EU institutions and agencies, including the European Central Bank, public registers in all departments and a code of good governance. The Commission, the Parliament, the Council and other EU bodies must all continue to reform their internal administrations.

ELDR also believes that access to free and pluralistic information represents a fundamental part of the internal market. We will continue to support the promotion of competition in the media and vigorous action to combat information monopolies. Where media domination jeopardises democracy in a member state, mechanisms for EU intervention would be justified for preservation of the *acquis*.

The issue of conflict of interest for those holding public office should follow a code of conduct within the framework of the existing European authorities and should be enforced by the member states.

Genuine freedom of choice for the consumer

ELDR believes that EU consumers have a right to clear and accessible information, in order to enable them to exercise their freedom of choice regarding the goods they buy and the food they eat. ELDR wants EU policy on matters such as food safety,

labelling and genetically modified organisms to be developed in full respect of that principle.

Creating a European Food and Rural Policy

ELDR believes that, in order to benefit consumers and rural areas, agricultural policy has to be deregulated and market-orientated. Therefore, a thorough reform of the CAP needs to stay prominent on the agenda. Subsidies for export and production should be abolished altogether as soon as possible. ELDR is committed to a common policy that ensures safe and healthy food, protects the interests of rural areas, and ensures high environmental standards and a sustainable agricultural sector. For such a policy to succeed, the perspective has to be broader than only agriculture. Food, rural areas and agriculture are closely linked. ELDR therefore wants to replace a common agricultural policy (CAP) with a Food and Rural Policy (FRP), which will take into account all sectors of the economy based in rural areas.

A common market demands good, strong and transparent laws concerning food safety. Therefore, ELDR will campaign for a strict and complete system of security to be established, covering all stages of production and distribution of food throughout the EU. Consumers must have full access to all relevant information, so as to empower them to make a free choice. A common system of sanctions against Member States and companies who break these rules must also be established. It is not enough that final products are safe. The entire production chain should meet common ethical requirements related to animal welfare, respect for the environment, good labour standards, and promotion of the transition to high-quality production. The choice between further quality categories must be made by the consumer on the basis of proper labelling.

Regional policy

To meet the challenges of enlargement in terms of maintaining and improving economic and social cohesion in the EU, ELDR will seek to deliver a revised regional policy in 2007, mainly focusing on the new Member States. This policy should be enhanced in terms of quality and flexibility, better targeted via more sophisticated eligibility criteria, simplified in terms of its programming procedures, have a particular focus on reducing disparities *between* and *within* regions, stimulating innovation, the development of SMEs and interregional cooperation. Aid must concentrate on the neediest regions, including urban areas and pockets of poverty in stronger regions. Poor regions in rich countries should remain eligible for funding. Regions that are statistically affected by enlargement should receive a continuation of an Objective 1-type support, rather than Objective 2. Transitional measures must incorporate current Objective 1 regulations, including rules on state aid.

Authorities at grassroots level must be in charge of setting priorities, conducting negotiations and taking decisions. The policy must be more cost-efficient and better integrated with Member States' domestic regional policies and other EU policies. ELDR rejects any kind of re-nationalisation of the Community's cohesion policies.

ELDR is in favour of maintaining the Community initiatives

Equal opportunity, mobility, and employment

As already indicated, ELDR believes that the best way to combat unemployment and increase economic growth is through controlled deregulation of markets, and enhanced labour market flexibility and labour mobility. Nevertheless, these efforts should be aided by coordination and exchange of best practice at EU level, with regard to those policies within Member States which aim at tackling unemployment and exclusion.

ELDR fully supports the ongoing Lisbon process to transform Europe into the most competitive and dynamic knowledge-based economy in the world, capable of sustainable economic growth with more and better jobs, greater social cohesion, and a sustainable environment. ELDR believes that the EU should only have a role in social security matters to the extent that these matters relate to improving the free movement of workers - for example, ensuring transferability of social security rights between Member States.

A rapidly ageing population, in combination with a decreasing birthrate, could cause insufficiency of supply to the labour market and result in inadequate resources to support and care for the elderly. The ELDR will address these problems through efforts to create safe, sustainable and easily transferable pensions and through policies for active ageing. The latter will include the promotion of lifelong learning (particularly IT skills), flexible working patterns and improvement in health care. Another key policy will be to improve access to the labour market for underrepresented sectors of society, such as women, immigrants, and disabled people, by removing barriers to work and tackling discrimination.

ELDR wants to continue to support the creation of safe working environments, with regard to both physical and psychological risks. However, in terms of EU intervention, ELDR believes that this goal must be achieved pragmatically. Action should only be taken where it would be ineffective at a lower level of government, and EU decision-makers must avoid overburdening businesses with unnecessary regulation.

ELDR considers that employability and labour mobility must be improved by promoting educational exchanges between Member States, in particular with a view to developing language skills, and by establishing full recognition of qualifications throughout the EU. A year of study in another European country should be made possible in all European universities. All young people in vocational training must have similar access to opportunities for study and training in another EU country within the framework of existing EU programmes such as Erasmus and Leonardo. Countries neighbouring the Union, which might become members of the EU before too long, should also be involved in university exchange programmes. It should also be possible to improve language teaching methods at EU level via exchanges in best practice, with a particular emphasis on active communication.

ELDR is shocked by the large number of children who leave school functionally illiterate (that is, they are unable to understand what they are reading), and believes that a concerted effort must be made to improve reading skills throughout Europe.

Protecting the rights of minorities flows naturally from liberal policy, which seeks to ensure equal opportunities for everyone. ELDR will continue to back legislation to eliminate discrimination and harassment in the workplace, whether on grounds of gender, ethnicity, religious persuasion, disability or sexual orientation, and to improve workforce integration. ELDR will also continue in its efforts to create effective policies to combat discrimination and promote equal opportunities in other areas, and to ensure the proper implementation of those policies. We will also support EU level efforts to tackle the causes of social exclusion more generally and to facilitate the integration into the labour market of those affected.

Guaranteeing disabled people equal opportunities is a core concern for the ELDR. Today, many obstacles to the real integration of people with disabilities continue to exist. Therefore, in employment legislation and other EU policies, the ELDR is

consistently campaigning to ensure that the particular circumstances of people with disabilities are taken into account. ELDR calls for the full implementation of the directive on Equal Treatment in Employment and the adoption of a specific European Disability Directive covering all areas of discrimination.

Promoting equal opportunities for women and men

In a liberal society, equal opportunities are a vital part of democracy. There is a great need for more women in decision-making, in research and in business on the basis of equal opportunity and non-discrimination. ELDR insists that all existing EU directives on equal treatment for women and men must be properly implemented in all Member States. In addition, we support moves to tackle the continuing problem of the gender gap on pay and measures that improve women's re-integration into the workforce and that help to reconcile the duties of work and family life.

Trafficking of human beings, especially women and children, has become one of the most lucrative international criminal businesses; every year hundreds of thousands of people are being made victims of sexual exploitation and slave labour. ELDR finds this unacceptable, and will continue to urge the EU and the Member States to address these problems more effectively through criminalisation, strengthened legislation, international police and judicial cooperation, and better protection for victims.

Women and men are not equally affected by public policies; no policies are gender neutral. ELDR therefore wants all EU policy sectors to take account of the gender aspect. Mainstreaming also means that statistics must be gender segregated to gain knowledge and to be able to address the problems.

Education and training

ELDR is convinced that education and training are the foundations on which the future of our children is to be built. Therefore, ELDR believes that the allocation of additional economic resources to these areas, in conjunction with a clearly defined efficiency strategy, represents a wise, sound, and much needed investment for our society.

AN ENLARGED EUROPE OF FREEDOM, SECURITY, AND JUSTICE

Democratic EU cooperation on justice and home affairs

In today's society, criminal activity and terrorism respect no frontiers, but existing procedures for cross-border law enforcement remain lengthy and cumbersome and in need of modernisation. That is why ELDR is fully committed to completing a genuine "Area of freedom, security and justice" in the EU, which ensures that citizens can enjoy their right to free movement, and which does not undermine security, public order and civil liberties.

To ensure a balance between the principles of freedom, justice and security, measures taken to defend the values of democracy and freedom against criminal or terrorist acts cannot be allowed to undermine the fundamental aspects of those values. Measures to fight terrorism and serious and organised crime inside the European Union through EU legislation or cooperation must be necessary, legitimate, and proportionate, respecting the proper sphere of national competence. Similarly, it must be ensured that any agreement reached between the EU and any third country in the implementation of justice and home affairs policy at international level complies with existing EU legislation and is necessary, legitimate, and proportionate. ELDR advocates the establishment of minimum common standards and human rights safeguards in criminal justice systems anywhere in the EU, without encroaching unnecessarily on national procedures.

Currently, national ministers hold the balance of power in the field of EU cooperation on justice and home affairs, with limited European Parliamentary scrutiny. ELDR considers this situation to be undemocratic and will campaign to ensure that decision-making in this field is made democratic, transparent and efficient by securing shared power between the European Parliament and the Council of Ministers on EU justice and home affairs policy.

Justice and Home Affairs Policy should therefore be brought within the normal legislative procedure of the Union, involving full parliamentary scrutiny, under the jurisdiction of the European Court of Justice and making a strict separation between European and Member State criminal law.

A common approach to asylum and immigration

ELDR considers the right to seek political asylum to be a basic human right which must be fully respected. We support the development of a common EU asylum system which is based on a full and inclusive application of the Geneva Convention, and which fully recognises gender-based persecution as a reason for granting asylum. This system should establish responsibility-sharing, in accordance with the new Dublin ruling, through the establishment of common fair and rapid procedures for admitting, examining and deciding asylum claims and for the reception of asylum-seekers, as well as common criteria for the definition of a refugee. EU standards on asylum policy should constitute a minimum, which do not affect the right of individual Member States to maintain or adopt more favourable national provisions. We will explore whether further measures to ensure fair sharing of responsibility between Member States are necessary.

ELDR strongly opposes all tendencies of creating a 'fortress Europe'. The asylum policy of the Union and its Member States should be characterised by humanity and solidarity.

Carrier sanctions and strict visa requirements have, in practice, led to a situation where transportation company staff in countries of origin act as EU border control,

and have made it practically impossible for asylum-seekers to enter the European Union legally. Sanctions, including automatic sanctions, against carriers should be abolished and the list of countries requiring visas to enter the EU should be reviewed in order to guarantee the universal right of asylum.

ELDR recognises the need for a common EU immigration policy which is based upon a system of managed migration as an integral part of a modern and dynamic economic and social policy for the EU, and reflecting experience in systems such as the US Green Card system and the Canadian system. This would mean the development of common rules and coordinated procedures, while respecting the right of individual Member States to decide their own immigration objectives. It should also include a system for burden-sharing and exchanging expertise in the policing of external border controls.

ELDR considers that long-term legally resident third country nationals should have equivalent labour rights and obligations to EU citizens.

ELDR will continue to campaign in favour of an active integration and employment policy for immigrants, alongside effective anti-discrimination laws, as the best means of combatting discrimination and racism. Integration measures should allow individuals to maintain their own cultural identity and religion, within the limits of the law, while ensuring that they assume their responsibility to integrate into the host society.

MAINTAINING AND PROMOTING A EUROPE OF DIVERSITY

ELDR is committed to eradicating racism, xenophobia, and cultural and religious intolerance from European society. We therefore call on all European political parties to sign and respect the Charter of political parties for a non-racist society, adopted in February 1998 and already signed by nearly 100 political parties including the ELDR.

ELDR defends the principle that modern, inclusive societies should keep politics and religion separate. We believe that a secular society plays an important role in defusing tension between religions and promoting tolerance and understanding between people of different faiths. ELDR also believes that a positive intercultural dialogue is best promoted by creating and defending equal opportunities, via inclusive education and employment policies, and by allowing people space for cultural expression, as long as they respect the law and customs of society.

In a globalised world, the interactions between cultures, economies and people are not only necessary but also desirable and can contribute to achieving social cohesion. The strength of the European Union is precisely its unity in diversity. The ELDR is therefore in favour of promoting and maintaining this diversity. ELDR calls upon the EU member states to develop strategies to accelerate cooperation and participation with new Member States in the cultural field.

ELDR will seek to ensure that EU laws on free movement and immigration give effect to and do not undermine national measures which seek to reflect the diversity of family relationships that exist in today's society, such as the recognition of unmarried and same-sex partnerships, or the attribution to unmarried and same-sex partnerships of equivalent rights to married couples. ELDR will also promote the acknowledgement by Member States of married partnerships between same-sex couples.

Linguistic diversity is one of Europe's basic assets, which should be further strengthened across all sectors of cultural policy, including education and the media. The EU should support and promote lesser used languages as part of Europe's cultural heritage, and should adhere to the principles established by the Council of Europe on the protection of regional and minority languages.

AN ENLARGED EUROPE, OPEN TO THE WORLD

A commitment to enlargement

The European Union will be in a process of enlargement for many years to come, even beyond the historic enlargement taking place in 2004. ELDR welcomes the fact that many new countries want to join the EU in order to create a united continent based on the principles of liberty, democracy, peace, stability, equality between women and men, market economy, free movement, and the rule of law. The EU must change and adapt to the challenges of enlargement. All candidate countries must fulfil the criteria and be judged individually on their own merits. All European countries that fulfil the Copenhagen criteria should be welcome to join the European Union. Safeguard clauses are a necessary but temporary mechanism to facilitate the integration of new Members in the Union, while maintaining the proper functioning of the Union as a whole.

ELDR believes that, although the fundamental criteria for joining the EU are non-negotiable, once these have been fulfilled, there can only be one type of EU membership - namely, full membership. For this reason, we are in favour of minimising transitional arrangements upon the accession of new countries as far as practically possible. ELDR is determined that new countries should not be treated as second class members of the EU. At the same time, ELDR defends fully the principle of flexibility, as laid down in the Nice Treaty, which allows some Member States to proceed with deeper integration.

Defending human rights within the EU

The EU must elaborate mechanisms to ensure that old and new member countries alike fulfil their obligations in the area of human rights - including their obligation to respect and fully implement the decisions of the European Court of Human Rights and of the European Court of Justice - and to abide by the values on which the Union is founded. Human rights policy must be much more coherent, co-ordinated and strategic than at present. ELDR will campaign to ensure that the human rights clauses in the treaties of association with the EU are an effective tool. In order to function they must be clear, predictable and constructive. ELDR will campaign for these clauses to be applied consistently, irrespective of the country concerned.

In particular, ELDR considers that the established process for monitoring progress in the applicant countries in the field of human rights should be transformed into a system of "peer review". This means that all Member States, both old and new, should evaluate their commitment to democratic accountability and integrity of public administration, non-discrimination, civil liberties and the rule of law. ELDR believes that there is room for improvement here for all EU Member States, old and new.

ELDR has particular concerns about the rights of minorities and individuals in the new Member States of an enlarged EU. We will continue to campaign to ensure that the rights of all citizens within the EU are protected.

A responsibility to the world

The EU should actively support the role of the UN and should commit itself to UN norms and decisions.

The EU also has a very important role to play in defending human rights beyond its own borders. Therefore ELDR is very concerned about the current general atmosphere in international relations, where active non-violent resistance to governments is often equated with terrorism. ELDR will never be silent on issues such as the death penalty, torture, abuse and violation of human dignity. So as to

ensure that those responsible for infringing basic human rights do not escape justice, we will continue to reaffirm the EU's commitment to the International Criminal Court (ICC) as the best way of enforcing the defence of human rights worldwide.

The EU has an important role to play in - and a responsibility towards - countries beyond its external borders. ELDR will continue to promote external policies which stress human rights, democracy, good governance, free trade and the respect for international treaties as fundamental elements.

In some countries, children are deprived of certain basic rights and forced into child labour. ELDR therefore calls on those countries which have not yet ratified the UN Convention on the Rights of the Child to do so promptly, and encourages educational programmes aimed at ensuring that children aged between 7 and 14 years have access to basic schooling.

The EU and the USA should not treat one another as rivals, but as partners. ELDR will work towards the forging of a new strategic partnership between the EU and the USA, based on respect for international law and UN decisions. As the two largest global economic and political units, the US and the EU have a responsibility to work together for the values which they share. However, these values cannot be imposed unilaterally on third parties by military means.

In that respect, the ELDR wants political power in Iraq to be handed over as soon as possible to the Iraqi people. In the meantime, the UN should have a central role.

The ELDR deplores the attitude of the US towards the International Criminal Court and the Kyoto Protocol.

ELDR recognises the need to further strengthen and develop EU relations with the European Economic Area (EEA), given that, out of all third countries, the EEA has the longest and deepest relationship with the EU, participating in all aspects of the Internal Market. In addition to its global role, the EU also has a special role to play in the Mediterranean area, in the Balkan region, towards Russia, the Ukraine, Belarus, Moldova and the Caucasus. ELDR will therefore promote reinforced association with these countries, focusing on trade, political, cultural and economic cooperation, the fight against crime and terrorism, and the defence and promotion of democracy, good governance and human rights, as well as fighting serious social and health problems. The ELDR encourages the EU to persevere in its efforts in support of the peace process in the Great Lakes region of Africa, with the aim of promoting democracy and stability.

ELDR has always promoted an active common European Foreign Policy. The EU can only play an important and active role on the international scene when it is united and coherent and speaks with one voice. ELDR welcomes steps taken over the last years towards a common foreign and security policy, including the establishment of a European rapid reaction force, which has made an important contribution towards enhancing the credibility of this policy. In particular, the EU should seek to establish offices in so-called failed states.

In general, EU citizens wish to see an active Europe promoting peace, stability and security in a responsible manner on the international stage. ELDR believes that only if the Union's foreign and security policy is backed up by credible political, economic and military capabilities, supplied by Member States and NATO, will Europe be able to influence situations of tension or conflict in order to champion its values and assert its interests.

In this context, ELDR considers the development of a genuine European security and defence policy (ESDP) to be an integral part of the Common Foreign and Security Policy. ELDR is of the opinion that the development of the ESDP will not be possible without strengthening the military capabilities available to the European Union.

Considering the examples of the EU police mission in Bosnia and the monitor protection mission in the Former Yugoslav Republic of Macedonia, the ELDR believes that the EU must play a more important role in the field of conflict resolution and conflict prevention by using all means at its disposal, including direct military intervention, and the sending of police forces, as well as other civilian components, to carry out peace-keeping and large scale humanitarian operations.

ELDR wants the EU's foreign and security policy to be subject to democratic control by the European Parliament. CFSP should become part of the normal decision making process of the Union, and the Union should replace its Member States as a permanent member of the UN Security Council.

At the same time, the development of a Common European Security and Defence Policy must not limit the right of national parliaments to decide on the commitment of troops in military operations. A European Defence Identity should be developed in close partnership with NATO and supplement, not replace it.

The threat which fanatical terrorism poses to our way of life is blurring traditional distinctions between external and internal security and requires other EU Member States to display solidarity with, and provide assistance to, Member States which suffer terrorist attacks.

Globalisation

Globalisation is a phenomenon to be governed rather than fought. Correct governance of globalisation will allow its positive effects to be promoted and developed (enhancement of production efficiency, global free markets, free circulation of capitals, people and ideas), and the perceived negative effects to be combated (general downgrading of the rights of workers, deepening of the rift between rich and poor countries and social classes, loss of cultural identity, lack of accountability of large multinational firms).

The ELDR believes a global free and fair market can only work if companies worldwide respect a set of common minimum social and ecological standards. The development of these minimum social and ecological requirements could be the task of the International Labour Organisation, whose role and competences should be strengthened.

A commitment to the developing world

ELDR believes that current EU policy on development cooperation needs to be reassessed, adapted to today's needs, and transformed into an integral part of the effort to build a common foreign policy. This requires a shift in emphasis, moving the focus of policy away from the inequality between North and South, and the dependence of developing countries upon our aid, towards a partnership based on equality and interdependence. The principal focus of our aid policy is poverty reduction and democratisation. The fulfilment of The Millennium Development Goals (MDGs) must be considered as the basis for coordinating development policy worldwide.

ELDR's immediate concern is that the level of public development aid has halved over the past decade. This is partly due to a lack of clear results. ELDR is concerned that this downtrend must be halted, and the delivery of development aid must be made more efficient and transparent. ELDR is committed to an Official Development Aid Target of at least 0.7% of Member States' GNP and believes that the Cotonou partnership agreement between the EU and the African-Caribbean-Pacific (ACP) countries, signed in 2000, provides for new methods of aid management offering better delivery. To help Member States commit to this aid target, ELDR wants to introduce an international and universal system for evaluating development cooperation, based on clearly defined targets and indicators, to ensure that aid is targeted towards those forms of cooperation that genuinely work. Such a system will also help to ensure that the EU's own development goals are set at a realistic level.

In order to re-establish financial viability in developing countries, it is crucial that measures to alleviate their international debt be implemented actively and rapidly. This is especially urgent for the heavily indebted poor countries, who are currently forced to pay off the interest of their debts with further loans. Development aid should be related to the promotion of good governance. Serious human rights abuses and military over-expenditure should lead to the suspension of development aid.

In the short term, EU development cooperation must focus on 4 basic pillars of development cooperation: food, health, education and democratisation.

The EU and international donors must increase their investment in rural economies. Technology transfer, technical research and training are especially needed in these areas, as the food security of most developing countries depends on the success of its own agricultural sector. Biotechnology could, under certain conditions, become an important tool to increase global agricultural production. ELDR believes that developing states should be free to decide their own policy concerning the use of GMOs.

The EU must also maintain general medical aid in order to ensure better health in developing countries through education, facilities, and funding. Apart from that basic condition, we must focus our efforts on the 3 main communicable diseases of today - HIV/Aids, Malaria, and Tuberculosis - with a view to establishing a more effective global response. Although it was instrumental in founding it, the EU is currently not pulling its weight financially within the Global Fund to Fight Aids, Tuberculosis and Malaria. ELDR will campaign for a serious improvement of the EU's contribution to the Global Fund, with a particular focus on supporting prevention, immunisation and the development of vaccines. We support the EU in its efforts to improve access to generic medicines for developing countries.

Clean water and sanitation are essential to good health. Yet over 1 billion people lack access to safe drinking water, and over 2.5 billion have inadequate sanitation facilities. ELDR is committed to developing comprehensive policies and strategies for integrated management of water resources, to be implemented in all countries by 2005.

At the very basis of development is education, giving people a way to build and achieve true self-support and welfare. The ELDR priority is to increase and improve levels of education as a condition for eliminating poverty and making progress towards sustainable development. Achieving and sustaining universal primary education presents a major challenge. ELDR demands investment in strong, well-targeted country programmes, with priority to sub-Saharan Africa and South Asia.

Special attention for girls and women is also vital, since there is a very strong link between education of women and elimination of poverty.

In more general terms, empowerment of women and the elimination of world poverty go hand in hand, since women are statistically twice as likely to live in poverty as men. Furthermore, the targeting of aid towards women gives better results in fighting poverty than giving aid to men since, as a general rule, women are the main family carers and hold societies together. ELDR is therefore committed to securing equality in human rights for women and girls, to promoting reforms designed to give women greater livelihood security, and to eliminating discrimination and violence against women.

To promote private sector involvement in development policy, ELDR will support the rapid creation of a flexible, non-bureaucratic and decentralised EU-ACP Trade and Aid Network, involving the private sector and non-governmental organisations and providing information and support for companies investing in developing countries. We will also support the establishment of a European Investment Risk Guarantee Fund for European investors, and the involvement of the EU business sector in development work, calling on them to help create a strong local business and investment climate in developing countries.

Free trade: a key weapon against world poverty

It is vital to involve the developing world in the global economy and to give all peoples the possibility to enjoy the benefits of globalisation. Trade leads to a more open economy, to technical exchange and development, to new jobs and investment, and to new ideas and inputs.

In the longer term, the liberal vision is of course that aid will no longer be needed, and that trade could take its place in development cooperation. The EU, and other areas of the developed world, have an important responsibility to take a pro-active stance towards the complete elimination of trade barriers against the developing world.

ELDR believes that developing countries need to be brought into the global economic system more effectively by lifting trade barriers and opening EU markets for exports from the developing world, helping these countries to get out of their poverty. Furthermore, developing countries should receive much greater resources and assistance, so that they are better equipped to defend their own rights within the World Trade Organisation (WTO).

ELDR proposals for the creation of a European Food and Rural Policy should lead to the elimination of agricultural subsidies. ELDR favours the abolition of all direct or indirect export subsidies, in line with the abolition of import protection and internal support. In order to guarantee fair competition and a well-functioning market, ELDR prefers that the abolition of subsidies within the EU be accompanied by similar efforts in other industrialised WTO countries. However, this preference is not an obstacle to further liberalisation.

ELDR would argue that democratic choice must prevail in an era of global interdependence, and that international treaties and institutions must respect the principles of democracy and transparency. Therefore, decision making on international trade matters needs a greater degree of European Parliamentary accountability by ensuring that the European Commission negotiators are regularly subjected to Parliamentary scrutiny and that the European Parliament has greater access to the proceedings of the Council with the European parliament having the

power of assent over the conclusion of WTO trade agreements entered into by the EU.

Protecting the environment for future generations

In order to achieve the goal of sustainable development, the EU needs to have greater ambitions, and should assume the leading role in promoting that goal at the global level. The EU should resolutely deal with environmental issues through the implementation of a Common Environmental Policy (CEP). By making it a common cause, ELDR believes that Europe will be better placed to undo some of the damage inflicted on our natural environment over the past 50 years.

As a group of powerful and wealthy countries, the EU has enormous potential to influence global environmental policy, as it has already done by achieving the inclusion of environmental factors in the latest round of World Trade Organisation negotiations. Environmental objectives should also be introduced into the lending and investment policies of the International Monetary Fund, the World Bank and regional development banks.

ELDR supports the principle of environmental liability as an instrument to encourage companies to behave responsibly towards the environment. At the same time, ELDR believes that this principle must not be allowed to paralyse innovation and new activities in the EU. The legal framework must therefore be realistic and must not undermine the competitiveness of European companies.

ELDR would like to move towards a situation where stringent environmental and consumer protection targets are set at EU level, while the detailed technicalities of implementation are left to the relevant national legislative bodies. Greater attention also needs to be paid to the actual implementation of existing directives at the national level, and further down, to the level of individual companies. ELDR considers that EU policies should promote a culture of corporate and individual responsibility, which goes much further than just obeying the letter of environmental laws.

The principle of sustainable development and environmental protection should be incorporated within the proposed Constitution of the European Union. EU policies are potentially far-reaching, so they should be audited for environmental impact, with the results reported to the European Parliament. A vital element of EU environment policy is to ensure that current environmental standards are implemented fairly by all Member States.

ELDR is in favour of a mainstreaming of sustainable economic growth; In this context, we consider that existing biodiversity and protection of natural habitats directives need to be re-evaluated, as they are not achieving their goals.

ELDR will campaign in favour of strengthening EU climate change initiatives both within the EU and internationally. ELDR is committed to meeting EU commitments within the context of the Kyoto protocol. For this reason, we vigorously support the introduction of a compulsory emissions trading scheme for EU industry. ELDR supports an EU-wide nationally-levied carbon tax, as long as it does not affect the overall tax burden for the EU citizen, and an EU - and eventually international - system of nationally-levied taxation of aviation fuel. In general, ELDR considers that decisions on environmental and energy-related EU-wide nationally-levied taxation should be taken by qualified majority vote. Furthermore, we consider that the unwillingness of other trading blocks or nations to implement meaningful projects in the context of the World Summit on Sustainable Development at Johannesburg

should not prevent the EU from moving ahead with the sustainable development agenda.

ELDR considers that the incorporation of environmental considerations into trade rules is of fundamental importance and new multilateral trade rounds should include significant new provisions aimed at safeguarding environmental sustainability without resorting to protectionism.

ELDR wants markets to promote good environmental practice. Markets can be used to restrict activities which harm the environment, such as the use of non-renewable energy. If Europe is to succeed in cutting CO2 emissions, clear economic incentives need to be given to producers and consumers. ELDR will work to agree tax incentives on all energy conservation materials within the EU. ELDR will also seek to extend the implementation of the principle of producer responsibility where the design, re-use, recovery and recycling of products is concerned.

At the same time, ELDR will only introduce new EU legislation where it is clearly justified. The immediate burden of many environmental policies falls on industry, so we will campaign to ensure that environmental audits are carried out in conjunction with cost-benefit studies to determine priorities for action and avoid unnecessary regulation for little purpose. We welcome the Commission's decision to produce a new Energy Services Directive to ensure that the liberalisation of the EU energy market (which we support) is balanced with environmental responsibilities, and we will press for its effective implementation in due course.

ELDR will continue to fight for improved animal welfare, insisting on higher standards and rigorous enforcement of animal transport regulations, pressing for reductions in animal testing and the promotion of alternative methods, and opposing the cruelty behind activities such as the trade in cat and dog fur.

Ensuring a sustainable future for European fisheries and fishers

The Common Fisheries Policy (CFP) is completely dependent on the sustainable use of fish stocks. Without fish there will be no fishermen. Therefore, ELDR will continue to stress that the well-being of fish stocks is a direct measure of the success of the CFP.

The contribution of fisheries to certain fragile peripheral areas is extremely important. ELDR considers that sufficient funds must be orientated towards the re-structuring of these fisheries-dependent communities as well as the improvement of their competitiveness and the development of new ways of creating added value in the fisheries sector.

The scale of fishing effort must be reduced to a level compatible with maintaining stocks. ELDR does not support any increase in catching capacity. At the same time, the fact that fishermen are often obliged by quotas to throw back into the sea dead fish that are perfectly fit for human consumption, is seen by the public as one of the major flaws of the CFP. To bring an end to the problem of discards, the Union needs to increase quota flexibility within existing allocations, and invest in programmes to improve gear selectivity, which should also aim at combating the accidental capture of dolphins and sea birds.

In order to increase the legitimacy of the CFP, ELDR considers that stakeholder participation in decision making must be substantially strengthened.

The depletion of world fish stocks is a matter of grave concern. ELDR will therefore continue to argue that the EU should promote sustainable fishing worldwide and that it should not use taxpayers' money to export excess capacity. The EU must assist the fisheries sector and other stakeholders in taking full responsibility for its activities.

Fishing is the major source of animal protein in most of the developing world. The EU - and other major fishing countries - have tried to solve their problems of excess fishing capacity by buying fishing rights in the waters of developing countries. ELDR believes that this should never happen to the detriment of the local fishing sector or the marine environment in those waters. At the very least, ELDR is convinced that fishing agreements should contain a genuine local development component and strong environmental safeguards.

THE EU BUDGET - DELIVERING VALUE FOR MONEY

Empowering EU taxpayers

The European Parliament already has significant power over the EU budget - it has the final say over structural funding, administrative expenditure, internal policies, external actions and pre-accession aid to EU applicant countries. But national finance ministers still have the final say over most spending on the Common Agricultural Policy and the Common Fisheries Policy, funding for the collection of revenue in the Member States, and a large part of the EU's development budget. Together, this amounts to 45% - almost half - of the total EU budget. As the EU institution which most directly represents EU taxpayers - ie. European voters - ELDR wants to secure full budgetary powers for the European Parliament so that MEPs share power with the Council of finance ministers on all parts of EU expenditure. With regard to the revenue side of the budget, ELDR wants the European Parliament to be fully involved in the decision on own resources. ELDR is not proposing revenue raising powers for the EU institutions. At the same time, ELDR rejects any limitation of the current budgetary powers of the European Parliament.

Ensuring value for money and fighting fraud

As well as ensuring that EU spending priorities match the priorities of citizens, ELDR also wants to ensure that EU taxpayers' money is spent effectively by persistently and rigorously scrutinising expenditure, in order to achieve a positive external audit from the European Court of Auditors on the financial management of the EU budget. In this connection, ELDR considers it unacceptable that the EU budget has been refused a positive audit every year for the past 8 years. To this end, ELDR will continue to press the Commission and the Court of Auditors to provide the Parliament with much clearer financial management analysis, sector by sector, accompanied by measurable performance indicators, and to name and shame those Member States not fulfilling their responsibility of protecting the Community's financial interests.

Member States must assume their responsibility for conducting thorough checks on all EU budgetary payments implemented by national, regional and local authorities - especially agricultural and structural fund support, which make up 80% of the EU budget and are largely co-managed by Member States, regions and local authorities. ELDR believes that one way to achieve this in the agricultural sector is by introducing greater co-financing of EU-funded projects with funds from national, regional and local budgets, so as to give national and regional authorities a stake in ensuring good financial practice.

To liberals, corruption is a scourge on society. In the fight against fraud, ELDR will continue to campaign to strengthen the EU's anti-fraud service, giving it full

independence from the European Commission and ensuring that it works closely and effectively with national investigators and public prosecutors to protect the financial interests of the European Union. This should include the establishment of a European public prosecution capacity, to allow fraud investigations to be led at EU level, and prosecution to be sought in national courts.

ELDR considers it essential that in an enlarged European Union, both financial control and the fight against fraud be reinforced.

The European Parliament: Setting its own house in order

It is fundamentally important that the European Parliament manages its own budget transparently and in full conformity with sound financial management. To this end, ELDR is determined that Council and Parliament should adopt a common statute for Members and Parliamentary assistants as soon as possible, to ensure a more transparent system of allowances in the case of Members, and clearer contractual rules and proper social security protection in the case of Assistants. The European Parliament should also be entrusted to decide on a single seat, in order to bring the monthly moves between Brussels and Strasbourg to an end.

Commission reform

ELDR is committed to ensuring effective internal reform within the Commission via the implementation of better financial and personnel management, to be achieved, in particular, by the establishment of the new Internal Audit Service, the issuing of annual reports from individual departments on their financial control and budget execution, regular rotation of senior officials and enhanced transparency of senior appointments, accounting reforms, the introduction of a code of conduct for officials and guidelines on whistleblowing, and a thorough shake-up of salary scales and rules on promotion, equal opportunities, and outdated privileges within the institution.

CONCLUSION

ELDR is committed to reforming the EU institutions and will continue to campaign to make the EU more democratic, more transparent, more efficient and more accountable and accessible to its citizens.

In relation to internal EU policy, we will continue to campaign for a Europe which is open to its citizens, and pays concrete dividends in improving their everyday lives, by completing the internal market, thereby allowing all EU citizens the freedom to live, work and travel, to consume goods and services, and to invest their money anywhere in the EU. ELDR's vision for the EU is of a Europe which promotes sustainable economic growth, strives to eliminate prejudice and discrimination, maximises individual freedom and opportunity, promotes cultural diversity, and defends human rights in all Member States.

ELDR is committed to ensuring full recognition of the role of the regional and local authorities in the application of Union policies, and considers that they and their representative bodies should be consulted in those areas relevant to the powers they exercise in accordance with the internal organisation of their state.

At the same time, we are committed to a thorough reform of the Common Agricultural Policy in order to transform it into an integrated and market-oriented Food and Rural Policy which ensures safe and healthy food, prosperous rural areas, and high environmental and animal welfare standards.

We want to eliminate illegal immigration by establishing a common system of managed asylum which treats asylum seekers decently, while ensuring that they respect the laws and customs of the host society. Whilst fully committed to the common fight against international terrorism and organised crime, we will remain forever vigilant against the erosion of personal freedom.

ELDR is committed to the ongoing enlargement of the European Union, based on the principles of democracy, peace, stability, equality between women and men, market economy, and free movement. We remain determined that new member countries should be treated as equals and that transitional arrangements should be kept to an absolute minimum.

In our relations with the outside world, we believe it is important to foster closer cooperation with those countries neighbouring the new enlarged European Union. We will continue to defend the International Criminal Court as the best means of promoting and defending human rights worldwide.

In the field of security and defence, we will continue to campaign for an effective Common Foreign and Security Policy for the EU, to be developed in close cooperation with NATO, allowing Europe to assume larger responsibilities in the wider world, based on respect for international law and UN decisions.

Our outlook is one of free trade and the opening of EU markets to exports from the developing world. In the meantime, public aid should be focused on food, health, education, the development of private enterprise, and the defence of equal opportunities, good governance and human rights. However, aid needs to be based on methods of development cooperation which actually work, are efficient, and contribute to the capacity of developing countries to compete on the world market.

ELDR recognises the crucial role played by the EU in promoting environmental sustainability and will continue to support efforts to ensure that all citizens and sectors of society and the economy assume a fair share of responsibility in protecting our environment for future generations. We will also apply pressure for the EU to continue to take the lead in setting the international agenda in favour of sustainable development.

In voting for ELDR candidates to the European Parliament in 2004, you will be voting on a proven track record of progressive reform, and in favour of a party committed to the creation of an enlarged EU that is open to its citizens and open to the world.